

THE BOARD OF DIRECTORS OF CIC INSURANCE GROUP LIMITED IS PLEASED TO ANNOUNCE THE AUDITED RESULTS OF THE GROUP FOR THE YEAR ENDED 31 DECEMBER 2014

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	31-Dec-14	31-Dec-13	31-Dec-12
	KShs'000	Restated KShs'000	Restated KShs'000
ASSETS			
Property and equipment	1,257,021	1,120,589	349,185
Intangible assets	94,747	86,670	56,485
Investment properties	4,596,000	3,657,000	2,554,472
Investment in associate	117,554	109,872	70,447
Available - for- sale investments	17,667	14,367	19,844
Deferred taxation	30,055	21,208	8,109
Mortgage loans receivables	446,226	314,691	240,869
Other loans receivables	425,736	332,281	255,758
Financial assets at fair value through profit or loss	359,952	282,031	203,377
Deposits and commercial paper	754,810	517,464	423,441
Receivables arising out of reinsurance arrangements	203,563	200,635	10,084
Receivables arising out of direct insurance arrangements	1,464,532	1,502,690	1,144,634
Reinsurers share of liabilities and reserves	639,214	1,695,350	1,965,437
Annuity funds	164,658	-	-
Short term investments	345,601	300,808	206,937
Taxation recoverable	46,322	22,309	2,450
Deferred acquisition costs	404,050	361,527	319,930
Other receivables	446,040	302,702	134,267
Due from related parties	272,448	16,595	16,621
Held to maturity financial assets	709,002	2,375,683	2,101,355
Available for sale financial assets	1,794,011	-	-
Deposits with financial institutions	8,542,103	3,343,407	3,727,723
Cash and bank balances	559,075	457,938	258,126
TOTAL ASSETS	23,690,387	17,035,817	14,069,551
EQUITY			
Share capital	2,615,578	2,179,655	2,179,655
Share premium	162,179	598,102	598,102
Statutory reserve	970,671	830,851	594,381
Revaluation surplus	162,457	74,623	11,143
Fair value reserve	(53,528)	(1,838)	3,639
Retained earnings	3,350,083	2,649,429	1,829,306
TOTAL EQUITY	7,207,440	6,330,822	5,216,226
LIABILITIES			
Insurance contracts liabilities	2,684,723	3,103,300	3,197,799
Unearned premiums reserve	4,396,959	4,070,695	3,092,113
Actuarial value of policyholder liabilities	2,942,724	2,059,131	1,650,108
Payables arising from reinsurance arrangements and insurance bodies	63,826	299,128	134,799
Other payables	1,041,786	793,511	444,409
Dividend payable	34,662	23,151	2,357
Taxation payable	-	-	77,006
Deferred taxation	416,001	356,079	254,734
Borrowings	4,902,266	-	-
TOTAL LIABILITIES	16,482,947	10,704,995	8,853,325
TOTAL EQUITY AND LIABILITY	23,690,387	17,035,817	14,069,551

Certain amounts shown here do not correspond to the 2013 financial statements and reflect adjustments made following the adoption of deferred tax in our Life subsidiary as per ICPAK guideline.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	SHARE CAPITAL KShs'000	SHARE PREMIUM KShs'000	RETAINED EARNINGS KShs'000	STATUTORY RESERVES KShs'000	TOTAL EQUITY KShs'000
At 1 January 2014	2,179,655	598,102	2,722,214	830,851	6,330,822
Transfer to retained earnings	-	-	100,000	(100,000)	-
Capitalization of share premium	435,923	(435,923)			
Tax on transfer to retained earnings			(30,000)	-	(30,000)
Dividends paid - 2013	-	-	(217,966)	-	(217,966)
Profit for the year	-	-	848,620	239,820	1,088,440
Other comprehensive income	-	-	36,144		36,144
At 31 December 2014	2,615,578	162,179	3,459,102	970,671	7,207,440

FUTURE OUTLOOK

The Group is currently undertaking a business transformation exercise and we expect that our customers and other stakeholders will benefit from the gains and efficiencies of this initiative. Our operations in South Sudan and Uganda have started off very well and we expect them to contribute to the Group's revenue growth and profitability. Operations in Malawi are expected to start later this year.

MESSAGE FROM THE DIRECTORS

These are extracts of the financial statements of the Group which were audited by Ernst & Young and have received an unqualified opinion. A full set of these financial statements will be available at our registered office at CIC Plaza and online at www.cic.co.ke. The financial statements were approved by the Board of Directors on 11 March 2015 and were signed on its behalf by:

Japheth Magomere – Group Chairman, OGW

Tom Gitogo – Group Chief Executive Officer

Grace Mabishi - Director

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	2014 KShs'000	2013 KShs'000 Restated
Gross written premiums	13,721,376	11,061,282
Gross earned premiums	13,363,942	10,067,665
Less: Reinsurance ceded	(1,053,618)	(911,983)
Net earned premiums	12,310,324	9,155,682
Fees and commission income	385,697	303,354
Investment income	1,051,816	722,466
Other gains	772,038	705,598
Total income	14,519,875	10,887,100
Claims and policyholders' benefits expense	(8,641,875)	(6,020,059)
Commissions expense	(1,138,843)	(843,552)
Operating and other expenses	(3,356,525)	(2,351,499)
Total expenses	(13,137,243)	(9,215,110)
Share of results of associate	7,682	(895)
Profit before taxation	1,390,314	1,671,095
Taxation charge	(301,874)	(366,536)
Profit for the year	1,088,440	1,304,559
OTHER COMPREHENSIVE INCOME		
Surplus on revaluation of buildings	87,834	63,480
Fair value loss on available-for-sale investments	(51,690)	(5,477)
Total comprehensive income for the year	1,124,584	1,362,562
Earnings per share (KShs.)	0.43	0.60

CONSOLIDATED STATEMENT OF CASH FLOWS

	2014 KShs'000	2013 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations	2,138,954	2,458,292
Tax paid	(304,812)	(405,155)
Net cash generated from operating activities	1,834,142	2,053,137
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(517,784)	(851,182)
Purchase of investment property	-	(485,317)
Other investments	(6,173,003)	21,921
Net cash used in investing activities	(6,690,787)	(1,314,578)
CASH FLOWS FROM FINANCING ACTIVITIES		
Borrowings	4,902,266	-
Dividends paid	(217,966)	(217,966)
Net cash from/(used) in financing activities	4,684,300	(217,966)
(DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS	(172,345)	520,593
CASH AND CASH EQUIVALENTS AT 1 JANUARY	2,614,371	2,093,778
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	2,442,026	2,614,371

FINANCIAL HIGHLIGHTS

- Gross premium grew by 23% from KShs.11 bn in 2013 to KShs.13.6 bn in 2014
- Total assets increased by 39% to KShs.23.7 bn
- Shareholders' funds were up by 13% to KShs.7.2 bn
- Profit before tax declined by 17% mainly due to increase in claims (particularly in our medical business) and policyholders benefit costs.

DIVIDENDS

The directors recommend the payment of a first and final dividend of Ksh 0.10 per share totalling to Ksh 261,557,852 (2013- Ksh 217,965,500). The dividend is subject to shareholders' approval and payment will be subject to withholding tax. The payment will be made on or about 19 June 2015 to the shareholders registered at the close of business on 20 May 2015.

ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of CIC Insurance Group Limited will be held at Kenyatta International Conference Center (KICC), Nairobi on Friday 22 May 2015.